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Japan Equity Strategy | Japan

Sho-Time: AI Revive, Value Alive

For Japan's 1Q earnings season, our base case is a rotation back into AI stocks, supported by continued bullish capex spending by US hyperscalers. However, we expect greater selectivity among stocks with high embedded expectations. We focus on catch-up potential in lagging cyclical value stocks as the benefits of AI broaden.

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Key Takeaways

- For Japan's 1Q earnings season, our base case is a market in which a "rotation back into AI" coexists with a "catch-up in lagging cyclical value."
- Morgan Stanley's 2027–28 forecasts for US hyperscaler capex are 30–40% above consensus.
- For cyclical growth stocks, we believe Street earnings forecasts have already been revised higher, making the risk-reward around earnings events less attractive than before.
- Our focus is on cyclical value. We believe low market expectations are limiting downside share-price risk around earnings events.

AI Revive, Value Alive

Our base case is a market in which a "rotation back into AI" coexists with a "catch-up in lagging cyclical value"

In assessing this summer's earnings season, we believe investors should avoid viewing the market through a simple "AI versus non-AI" or "growth versus value" framework, and instead consider the following three scenarios.

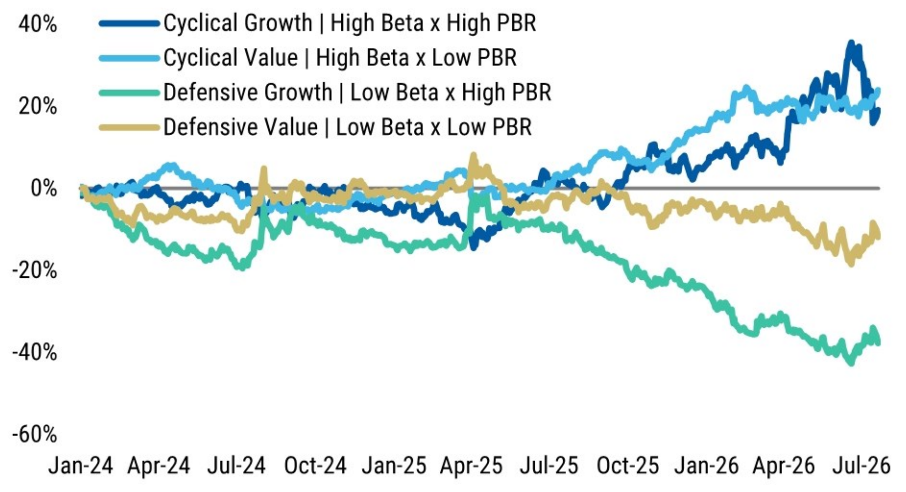
Our base case is that US hyperscalers maintain bullish capex plans and global fund flows rotate back into AI-related stocks. Under this scenario, the momentum factor is likely to regain effectiveness. However, high earnings expectations are already embedded in Japanese AI-related stocks, meaning not all AI names are likely to rise uniformly. Instead, as the benefits of AI investment broaden into adjacent areas of the value chain, we would focus on the possibility that lagging cyclical value stocks catch up in parallel.

The second scenario is one in which, in addition to bullish capex plans from US hyperscalers, earnings from Japanese AI-related companies clearly exceed elevated market expectations, resulting in renewed concentrated inflows into AI-related stocks. In this case, cyclical growth would outperform, while the re-rating of cyclical value could be deferred —particularly if macro uncertainty, including developments in the Middle East, increases further.

The third scenario is a shift toward risk-off conditions, as AI-related companies fail to clear higher earnings hurdles while geopolitical risks and supply-chain concerns intensify. Position unwinding in high-beta AI-related stocks could accelerate a momentum reversal.

At this stage, we view the first scenario—a market in which a "rotation back into AI" coexists with a "catch-up in lagging cyclical value"—as our base case.

Exhibit 1: Cumulative excess returns versus TOPIX by Beta x P/B in the TOPIX 500 universe



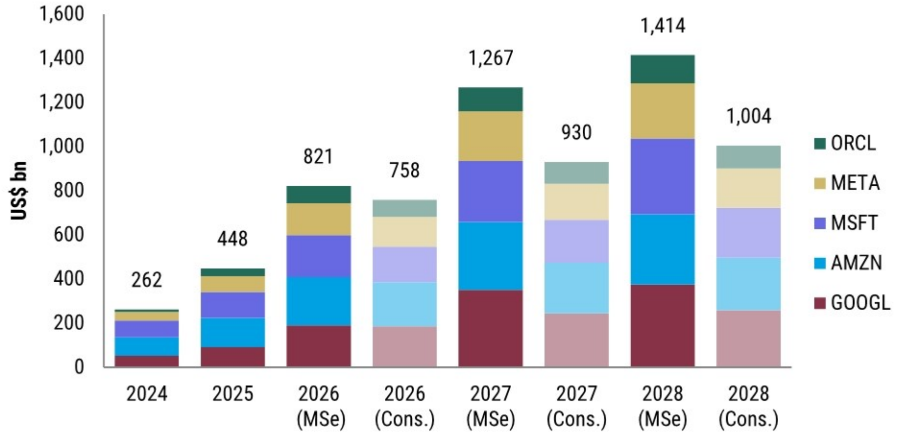
Note: At each month-end, stocks are ranked separately by beta, based on 252 trading days, and P/B, with the top and bottom 30% selected. TOPIX is used as the market return. Calculated using monthly rebalancing and equal weighting. Source: QUICK, Bloomberg, Morgan Stanley Research

US hyperscaler capex is the key focus ahead of 1Q earnings

Ahead of Japanese companies' 1Q earnings, the most important event for determining market direction will be the capex plans announced by US hyperscalers. Our US Internet team maintains a clearly more bullish outlook than the Street for aggregate capex by the hyperscalers plus ORCL (Exhibit 2). Morgan Stanley's 2027 forecast is US$1.2 trillion, around 30% above consensus of only US$0.9 trillion. For 2028, Morgan Stanley forecasts approximately US$1.4 trillion, compared with consensus of around US$1.0 trillion, widening the gap to approximately 40%.

Historically, consensus has consistently followed Morgan Stanley's forecasts. Our US Internet team believes the same may be true this time, with market forecasts likely failing to fully reflect rising costs across the various components of capex, including memory prices and data-center construction costs.

Exhibit 2: US hyperscaler capex outlook

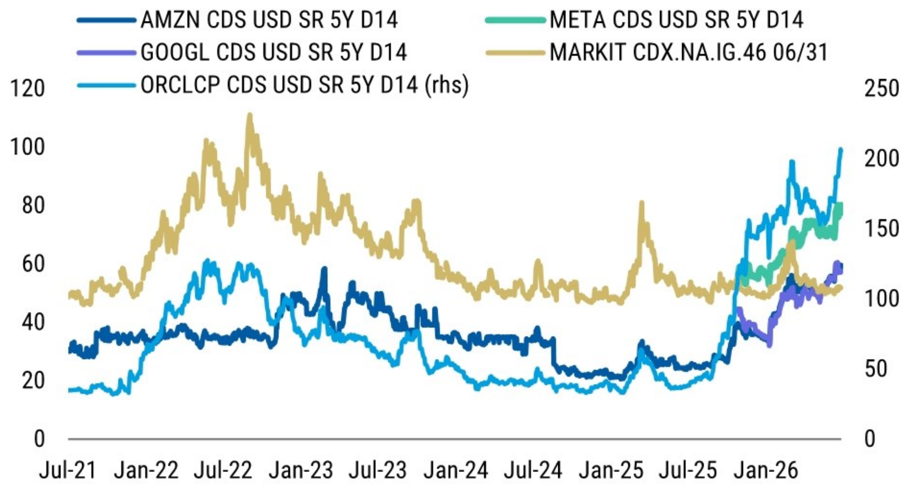


Source: Company disclosures, Bloomberg, Visible Alpha (consensus estimates), Morgan Stanley Equity Research. Morgan Stanley Research forecasts for AMZN, GOOGL and META (MSe), covered by Brian Nowak, are based on the July 12, 2026 report "Internet: $1.4trln of Capex, 4X in Compute Capacity, and AI Revenue Streams to Watch into '28 (12 Jul 2026)." Forecasts for MSFT (MSe), covered by Josh Baer, are as of May 4, 2026, and forecasts for ORCL (MSe), covered by Sanjit Singh, are as of April 23, 2026.

Credit concerns are rising behind the expansion in capex: Even if our capex outlook proves correct, concerns over credit risk and margin pressure will not disappear. Since June, credit spreads have widened amid a succession of large bond issuances by other mega-cap companies, pre-earnings financing by hyperscalers, and S&P's downgrade of ORCL (Exhibit 3). Large deals issued since June are trading at wider spreads than at issuance, suggesting that sentiment among US credit investors is beginning to shift.

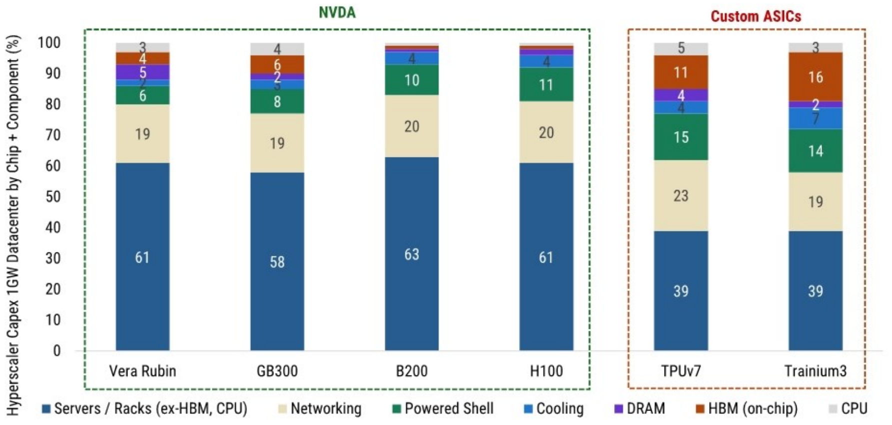
Meanwhile, our US Credit Strategy team expects the main focus of future financing to shift from construction of data-center shells—the external structures—to servers, chips, compute and energy infrastructure, including gas turbines, which together account for around 60% of total data-center costs (Exhibit 4).

Exhibit 3: US hyperscaler credit spreads have widened



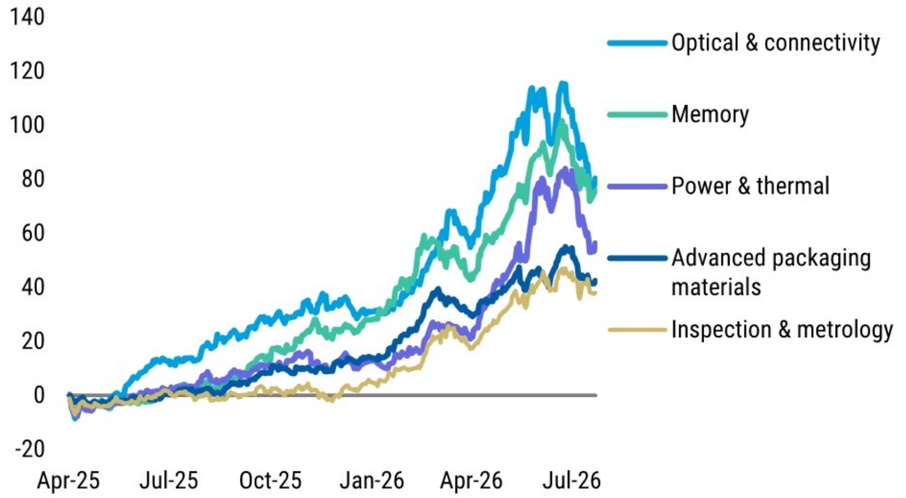
Source: Bloomberg, Morgan Stanley Research

Exhibit 4: Future financing is expected to shift from data-center construction to chips, compute and energy infrastructure, including gas turbines



Source: Morgan Stanley Research: screenshot of slide 26 from the following note: Internet: How Much Capacity Will $2 Trillion of Hyperscaler Capex Bring By '27? (17 May 2026).

Exhibit 5: Core-theme performance of AI-related stocks (cumulative excess returns versus TOPIX since April 2025, %)



Source: QUICK, Morgan Stanley Research

Will AI momentum restart?

Last week, the momentum factor corrected by around 20% from its recent late-June peak, amid uncertainty surrounding the situation in the Middle East, concerns over the competitive threat posed by emerging Chinese AI companies, and market holidays in Korea and Japan (Exhibit 6).

As we noted in "Asia Trip Feedback: Renewed Interest in the Banking Sector (13 Jul 2026)", if US hyperscaler earnings once again confirm bullish capex plans, concerns over the AI investment cycle should recede, and the effectiveness of the momentum and volatility factors should recover relatively quickly. In that case, we would expect the high-revision cyclical growth stocks shown later in Exhibit 8 to outperform.

That said, a recovery in momentum does not necessarily mean that capital will once again concentrate in a one-way move into the same stocks as before. This earnings season, in addition to the sustainability of AI investment, the extent to which individual companies can exceed already elevated market expectations will be more important than in the past.

The polarization of cyclical stocks created by the AI rally: In FY25 4Q earnings, many AI-related companies presented strong earnings outlooks, while many non-AI companies, or companies that are not pure-play AI beneficiaries, issued conservative guidance against a backdrop of macro uncertainty, including developments in the Middle East.

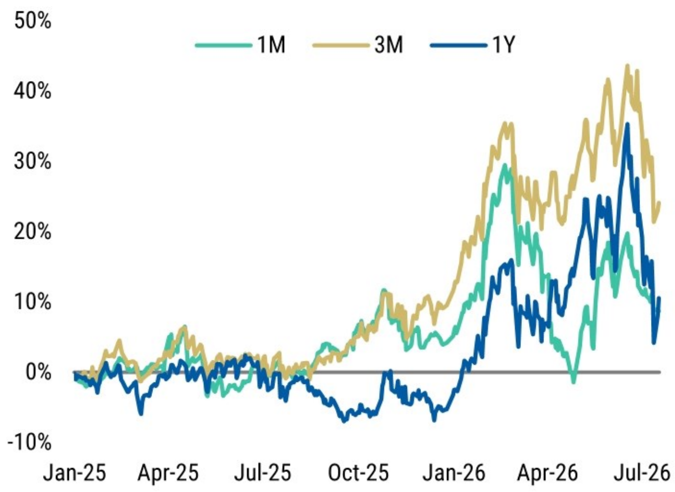
Subsequent share-price performance has also clearly polarized. In the AI rally since April, investment flows concentrated in AI-related stocks, and cyclical growth significantly outperformed. By contrast, cyclical value stocks that could benefit from continued yen weakness, expanding capex and an economic recovery were left behind, and the performance gap between the two groups has widened since March (Exhibit 1).

Expectation risk embedded in cyclical growth: The key point at present is not that earnings at AI-related companies have deteriorated, but that expectations embedded in share prices have risen substantially (Exhibit 7). For cyclical growth stocks, including AI names, investors appear to have strong expectations for strong first-quarter progress against full-year forecasts and upward guidance revisions.

As a result, even if reported earnings are not weak on the surface, share prices could fall sharply if results fail to meet Street expectations. In this sense, we believe the risk-reward around earnings events is less attractive than before. Furthermore, if earnings disappointments coincide with a broader market decline, high-beta characteristics could amplify downside moves.

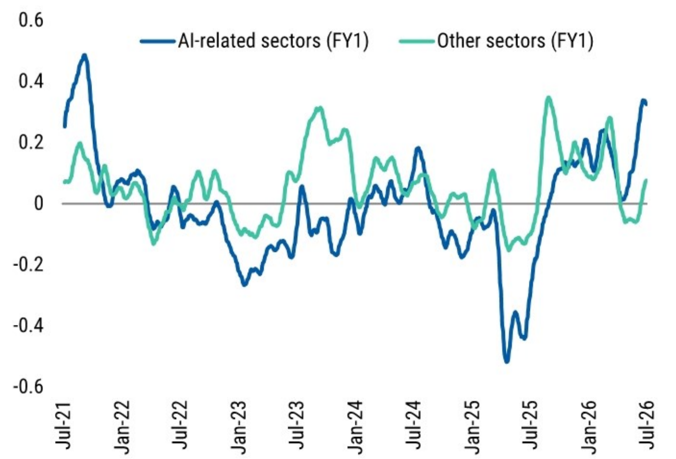
Yaskawa Electric is one example. The company has a high adjusted beta of approximately 1.59. Following its July 10 earnings announcement, the share price fell 14.3% on the next trading day and underperformed TOPIX by 13.7%. Five trading days later, the decline had widened to 26.6%, with underperformance versus TOPIX reaching 24.4%.

Exhibit 6: Cumulative returns of the TOPIX 500 momentum factor



Source: Bloomberg, Morgan Stanley Research

Exhibit 7: Earnings revision index for AI-related sectors



Note: AI-related sectors are defined as the TSE-17 Machinery; Steel & Nonferrous Metals; Electric Appliances & Precision Instruments; and Raw Materials & Chemicals sectors. Source: Bloomberg, Morgan Stanley Research

Cyclical value with re-rating potential: Bank stocks and domestic-demand stocks, including content and IP-related names, have recently remained resilient. However, some of this may reflect a defensive rotation away from declining AI-related stocks. Investors should therefore remain mindful of the risk that these fund flows reverse if AI stocks rebound following US hyperscaler capex announcements and earnings from AI-related companies.

Our focus is on selected cyclical value stocks that have been excessively sold off behind the AI rally. We believe the share-price discount of these stocks relative to fundamentals and fair value has widened, while low expectations may be limiting downside risk around earnings to some extent.

Similar earnings growth, different earnings hurdles: In Exhibit 8 and Exhibit 9 , we screened TOPIX constituents that had not yet reported FY26 1Q earnings. KOA, which reported 1Q earnings on July 23, was mechanically excluded from the screen and is discussed below as an early example of a cyclical-value re-rating.

From the TOPIX universe excluding banks, we first select stocks ranking in the top 50% for FY26 EPS growth and the top 30% for market beta. We then divide them into two groups, using P/B as the primary classification metric and three-month price momentum as a secondary filter.

Cyclical value comprises stocks between the 10th and 50th percentiles of the TOPIX P/B distribution, excluding the top 10% by 3M momentum to avoid names that have already rallied sharply. Cyclical growth comprises stocks above the 80th percentile by P/B, excluding the bottom 10% by momentum to avoid names already experiencing significant price deterioration. This approach identifies both lagging value stocks with earnings growth and high market sensitivity, and growth stocks that retain strong expectations and premium valuations.

Both groups consist of cyclical companies with favorable earnings-growth prospects, but their hurdles going into results differ considerably. For cyclical growth—particularly AI-related stocks—strong earnings appear to be substantially priced in. In contrast, if cyclical value companies deliver above-consensus results, they could benefit from both upward earnings revisions and valuation re-rating.

KOA earnings indicate a broadening of the benefits from AI capex: For KOA, which reported earnings on the 23rd, our covering analyst Harashima viewed both the reported results and the upward guidance revision positively. In addition to expanding demand for resistors used in AI servers, he highlighted the possibility that demand for industrial equipment, which had been undergoing a prolonged inventory adjustment since the pandemic, is beginning to enter a full-fledged recovery phase.

The key point is that KOA's results should not be viewed as purely company-specific. They suggest that the benefits to cyclical industries, including AI-related demand, may be beginning to spread beyond semiconductor and data-center pure plays to upstream and adjacent areas of the value chain, such as electronic components and industrial equipment. If the profit pool generated by AI capex broadens across a wider range of industries, both the earnings outlook and valuations of cyclical value stocks that had previously been left behind by the AI rally could be revised higher.

A rotation back into AI does not negate the case for a cyclical-value re-rating: The central question for this earnings season is not a binary choice between a recovery in AI-stock momentum and a rotation into value. Under our base case, bullish capex plans from US hyperscalers are likely to drive a global rotation back into AI-related stocks. At the same time, elevated growth expectations and earnings hurdles could constrain upside for Japanese AI-related stocks. As a result, capital is likely to broaden beyond pure-play AI names toward cyclical value stocks that benefit from AI investment but still carry low expectations.

For reference, Exhibit 10 summarizes the earnings schedules over the next two weeks for major AI-related companies in Japan, the US, Korea and Taiwan. These earnings results and the market's reaction will provide important indications not only for the direction of Japanese AI-related stocks, but also for assessing the re-rating potential of lagging cyclical value stocks.

Exhibit 8: High-revision cyclical growth stocks

Code	Stock	TSE-33 Sec	Stock price (JPY:)	Market Cap (JPYbn)	P/E (est; X)	P/B (X)	Expected Div Yield (%)	Est.Next Earnings
1942	KANDENKO	Construction	5,988	1,229.3	17.8	3.1	2.2	2026/07/31
1961	SANKI ENGINEERING	Construction	2,444	393.4	14.8	3.1	2.7	2026/08/07
1969	TAKASAGO THERMAL ENGINEERING	Construction	4,490	630.7	14.7	2.8	2.7	2026/08/07
3104	FUJIBO HOLDINGS	Text&Apparel	4,075	138.8	21.8	2.7	1.9	2026/07/31
4021	NISSAN CHEMICAL	Chemicals	7,836	1,056.3	20.3	4.1	2.7	2026/08/07
4062	IBIDEN	Elec. App.	18,075	5,096.1	87.1	9.2	0.2	2026/08/04
4063	SHIN-ETSU CHEMICAL	Chemicals	6,970	13,835.4	25.7	2.9	1.5	2026/07/24
4368	FUSO CHEMICAL	Chemicals	4,080	434.7	22.5	3.7	0.7	2026/08/07
5384	FUJIMI INC.	Gl.&Cer.Prod	4,230	338.8	30.2	3.7	1.8	2026/08/05
5393	NICHIAS	Gl.&Cer.Prod	3,409	651.1	20.1	2.7	1.9	2026/08/04
6134	FUJI	Machinery	7,611	744.5	20.3	2.9	2.5	2026/08/03
6237	IWAKI	Machinery	5,070	114.0	22.1	2.7	1.8	2026/08/07
6254	NOMURA MICRO SCIENCE	Machinery	4,300	174.6	15.0	4.2	2.0	2026/08/07
6315	TOWA	Machinery	3,005	225.8	32.2	3.2	0.8	2026/08/06
6324	HARMONIC DRIVE SYSTEMS	Machinery	6,870	661.7	144.5	8.1	0.3	2026/08/07
6368	ORGANO	Machinery	15,565	721.6	23.9	5.0	1.4	2026/08/03
6370	KURITA WATER INDUSTRIES	Machinery	9,043	1,050.8	23.3	2.9	1.5	2026/08/06
6407	CKD	Machinery	6,720	456.4	26.4	2.9	1.4	2026/08/10
6490	PILLAR	Machinery	10,400	260.4	22.2	3.0	1.8	2026/08/06
6501	HITACHI	Elec. App.	4,854	22,015.6	25.5	3.3	1.2	2026/07/29
6503	MITSUBISHI ELECTRIC	Elec. App.	5,746	12,142.5	24.8	2.6	1.0	2026/07/31
6507	SINFONIA TECHNOLOGY	Elec. App.	14,230	423.9	26.8	4.1	1.1	2026/08/07
6525	KOKUSAI ELECTRIC	Elec. App.	9,108	2,168.8	54.8	9.7	0.5	2026/08/06
6526	SOCIONEXT	Elec. App.	2,474	445.2	43.4	3.3	2.0	2026/07/29
6590	SHIBAURA MECHATRONICS	Elec. App.	5,410	377.9	29.8	6.4	1.2	2026/08/06
6701	NEC	Elec. App.	4,240	5,784.4	19.7	2.6	0.9	2026/07/29
6754	ANRITSU	Elec. App.	3,994	542.7	34.1	3.9	1.3	2026/07/30
6762	TDK	Elec. App.	3,116	6,057.1	26.3	2.7	1.3	2026/07/31
6841	YOKOGAWA ELECTRIC	Elec. App.	5,769	1,483.8	24.7	2.8	1.6	2026/08/04
6857	ADVANTEST	Elec. App.	30,800	22,545.6	47.9	28.0	0.2	2026/07/29
6861	KEYENCE	Elec. App.	72,260	17,574.2	37.3	5.0	0.8	2026/07/28
6954	FANUC	Elec. App.	6,938	6,815.0	35.0	3.5	1.7	2026/07/31
6976	TAIYO YUDEN	Elec. App.	12,155	1,646.1	88.0	4.6	0.7	2026/08/05
6981	MURATA MANUFACTURING	Elec. App.	8,538	16,760.1	53.0	5.7	0.8	2026/07/31
7729	TOKYO SEIMITSU	Prec. Inst.	18,445	779.9	26.7	3.9	1.5	2026/08/04
7735	SCREEN HOLDINGS	Elec. App.	16,650	3,176.2	28.6	6.5	1.1	2026/07/28
8035	TOKYO ELECTRON	Elec. App.	65,950	30,866.8	44.4	14.7	1.1	2026/07/30
8050	SEIKO GROUP	Prec. Inst.	7,560	626.0	26.9	3.5	1.2	2026/08/07
8697	JAPAN EXCHANGE GROUP	Oth.Fin.Bus.	2,257	2,328.7	28.4	6.7	2.7	2026/07/28
9962	MISUMI GROUP	Whsle Trade	3,739	1,066.6	25.4	2.6	1.4	2026/07/31
285A	KIOXIA HOLDINGS	Elec. App.	61,880	33,911.2	8.8	24.2	0.0	2026/07/31

Note: From the TOPIX universe, we exclude banks and companies that have already reported FY26 1Q results, then select stocks in the top 50% for EPS growth and top 30% for beta. Value comprises stocks in the 10th–50th percentiles of the TOPIX P/B distribution, excluding the top 10% by momentum. Growth comprises stocks above the 80th percentile by P/B, excluding the bottom 10% by momentum. KOA and DISCO are mechanically excluded from the Value and Growth lists, respectively.
Source: QUICK, Factset, Bloomberg, Morgan Stanley Research

Exhibit 9: High-revision cyclical value stocks

Code	Stock	TSE-33 Sec	Stock price (JPY:)	Market Cap (JPYbn)	P/E (est; X)	P/B (X)	Expected Div Yield (%)	Est.Next Earnings
1417	MIRAIT ONE	Construction	3,631	331.6	12.5	1.1	2.6	2026/08/07
1934	YURTEC	Construction	2,336	161.6	11.5	1.0	3.3	2026/07/28
2768	SOJITZ	Whsle Trade	5,470	1,148.7	8.8	1.0	3.3	2026/07/31
3036	ALCONIX	Whsle Trade	2,596	80.8	11.8	1.0	3.5	2026/08/05
3402	TORAY INDUSTRIES	Text&Apparel	1,180	1,774.5	19.1	1.0	2.2	2026/08/06
4005	SUMITOMO CHEMICAL	Chemicals	553	916.5	13.0	0.9	2.9	2026/08/04
4042	TOSOH	Chemicals	2,843	924.2	14.9	1.1	3.5	2026/08/04
4043	TOKUYAMA	Chemicals	4,732	341.1	9.7	1.2	2.5	2026/07/29
4061	DENKA	Chemicals	3,753	332.4	20.2	1.0	2.7	2026/08/07
4064	NIPPON CARBIDE INDUSTRIES	Chemicals	3,335	31.4	10.0	0.8	4.0	2026/08/07
4078	SAKAI CHEMICAL INDUSTRY	Chemicals	4,145	72.6	15.9	0.9	3.9	2026/08/07
4183	MITSUI CHEMICALS	Chemicals	2,209	887.3	17.7	0.9	3.4	2026/08/05
4188	MITSUBISHI CHEMICAL GROUP	Chemicals	1,216	1,752.8	13.9	0.9	2.6	2026/07/31
4202	DAICEL	Chemicals	1,494	382.7	12.7	1.1	4.7	2026/07/31
5020	ENEOS HOLDINGS	Oil&Coal P.	1,337	3,618.9	8.6	1.1	2.5	2026/08/07
5602	KURIMOTO	Iron & Steel	1,491	95.4	12.6	1.0	4.0	2026/08/06
5711	MITSUBISHI MATERIALS	Nonfer.Mtls	4,294	564.6	11.5	0.8	2.7	2026/08/06
5713	SUMITOMO METAL MINING	Nonfer.Mtls	7,902	2,298.0	14.1	1.0	2.6	2026/08/10
5741	UACJ	Nonfer.Mtls	2,494	462.2	16.1	1.3	2.3	2026/08/06
5821	HIRAKAWA HEWTECH	Nonfer.Mtls	3,110	54.8	14.2	1.1	1.7	2026/07/31
5857	ARE HOLDINGS	Nonfer.Mtls	3,160	274.5	9.4	1.2	4.3	2026/08/04
6103	OKUMA	Machinery	4,940	333.5	20.7	1.2	2.0	2026/08/05
6104	SHIBAURA MACHINE	Machinery	4,775	118.5	56.5	1.0	2.9	2026/07/31
6140	ASAHI DIAMOND INDUSTRIAL	Machinery	1,146	55.5	21.2	0.9	3.0	2026/08/07
6258	HIRATA	Machinery	2,977	96.1	14.0	1.2	2.5	2026/08/07
6305	HITACHI CONSTRUCTION MACHINERY	Machinery	5,415	1,164.8	14.4	1.3	3.5	2026/07/30
6369	TOYO KANETSU	Machinery	2,440	39.2	14.1	0.9	4.3	2026/08/07
6471	NSK	Machinery	1,143	571.3	23.3	0.8	3.0	2026/07/30
6472	NTN	Machinery	381	227.7	15.1	0.8	3.4	2026/08/04
6473	JTEKT	Machinery	2,079	662.4	13.2	0.8	3.4	2026/07/31
6742	KYOSAN ELECTRIC MFG.	Elec. App.	923	58.0	13.6	1.0	2.9	2026/08/07
6770	ALPS ALPINE	Elec. App.	2,156	448.7	14.0	0.9	3.0	2026/07/31
6807	JAPAN AVIATION ELECTRONICS IND	Elec. App.	2,480	174.4	27.9	1.2	2.0	2026/07/29
6875	MEGACHIPS	Elec. App.	9,540	181.7	4.0	0.7	2.7	2026/08/06
7004	KANADEVIA	Machinery	1,231	209.5	9.9	1.1	3.1	2026/08/06
7202	ISUZU MOTORS	Trans.Equip.	2,329	1,604.1	10.0	1.1	4.0	2026/08/03
7456	MATSUDA SANGYO	Whsle Trade	5,620	151.2	8.5	1.2	2.0	2026/08/07
7911	TOPPAN HOLDINGS	Other Prod.	4,930	1,452.9	25.1	1.0	1.2	2026/08/12
8012	NAGASE	Whsle Trade	1,207	530.6	14.3	1.2	2.2	2026/08/04
8078	HANWA	Whsle Trade	1,750	370.4	8.5	0.8	3.8	2026/08/07
8253	CREDIT SAISON	Oth.Fin.Bus.	4,662	751.1	8.9	0.9	3.4	2026/08/12
8604	NOMURA HOLDINGS	Sec.&Com.Fut	1,625	5,017.4	12.5	1.3	3.6	2026/07/29

Note: From the TOPIX universe, we exclude banks and companies that have already reported FY26 1Q results, then select stocks in the top 50% for EPS growth and top 30% for beta. Value comprises stocks in the 10th–50th percentiles of the TOPIX P/B distribution, excluding the top 10% by momentum. Growth comprises stocks above the 80th percentile by P/B, excluding the bottom 10% by momentum. KOA and DISCO are mechanically excluded from the Value and Growth lists, respectively.
Source: QUICK, Factset, Bloomberg, Morgan Stanley Research

Exhibit 10: Earnings schedule for major AI-related companies in Japan, the US, Korea and Taiwan over the next two weeks

Date	Days	Region	Ticker	Company	Category
07/23 (Thu)	+0d	JP	6146 JT	Disco	Semiconductor Equipment
07/28 (Tue)	+5d	JP	3778 JT	SAKURA internet	Cloud/Datacenter
07/28 (Tue)	+5d	TW	3037 TT	Unimicron	Substrate/ABF
07/29 (Wed)	+6d	JP	6857 JT	Advantest	Semiconductor Equipment
07/29 (Wed)	+6d	JP	6526 JT	Socionext	Semis/Custom SoC
07/29 (Wed)	+6d	US	VRT US	Vertiv Holdings	Power/Cooling
07/29 (Wed)	+6d	US	ARM US	Arm Holdings	Semiconductor IP
07/29 (Wed)	+6d	US	MSFT US	Microsoft	Cloud/Datacenter
07/29 (Wed)	+6d	US	META US	Meta Platforms	AI Software/Models
07/29 (Wed)	+6d	KR	000660 KS	SK Hynix	HBM/Memory
07/30 (Thu)	+7d	JP	8035 JT	Tokyo Electron	Semiconductor Equipment
07/30 (Thu)	+7d	US	AMZN US	Amazon	Cloud/Datacenter
07/30 (Thu)	+7d	KR	005930 KS	Samsung Electronics	HBM/Memory
07/30 (Thu)	+7d	TW	3711 TT	ASE Technology	Semis/Back-end
07/30 (Thu)	+7d	TW	2308 TT	Delta Electronics	Power/Cooling
07/31 (Fri)	+8d	JP	6723 JT	Renesas	Semis/IDM
07/31 (Fri)	+8d	JP	5802 JT	Sumitomo Electric	Networking/Optical
07/31 (Fri)	+8d	JP	6981 JT	Murata	Electronic Components
07/31 (Fri)	+8d	JP	285A JT	Kioxia Holdings	NAND/Memory
07/31 (Fri)	+8d	TW	2454 TT	MediaTek	Semis/ASIC
08/03 (Mon)	+11d	US	PLTR US	Palantir Technologies	AI Software/Models
08/04 (Tue)	+12d	US	ANET US	Arista Networks	Networking/Optical
08/04 (Tue)	+12d	US	AMD US	Advanced Micro Devices	GPU/AI Chips
08/06 (Thu)	+14d	JP	6920 JT	Lasertec	Semiconductor Equipment
08/06 (Thu)	+14d	JP	9984 JT	SoftBank Group	AI Investment Holding
08/06 (Thu)	+14d	KR	240810 KS	Wonik IPS	Semiconductor Equipment
08/06 (Thu)	+14d	TW	6669 TT	Wiwynn	AI Server
08/07 (Fri)	+15d	JP	9433 JT	KDDI	Cloud/Datacenter
08/07 (Fri)	+15d	JP	5803 JT	Fujikura	Networking/Optical
08/07 (Fri)	+15d	KR	000990 KS	DB HiTek	Semis/Foundry
08/07 (Fri)	+15d	TW	2382 TT	Quanta Computer	AI Server

Note: Table data as of July 22.
Source: FactSet, JPX, Morgan Stanley Research

"Institutionalized Fiscal Expansion" Signaled by the Basic Policy

The Basic Policy on Economic and Fiscal Management and Reform, approved by the Takaichi Cabinet on July 21, included neither the spending-cut measures branded as a "Japan DOGE" that our Japan Equity Strategy team had expected, nor specific numerical targets for defense spending.

One of the most important implications of the 2026 Basic Policy is that fiscal expansion is becoming embedded in the policy framework as an institution, rather than remaining a temporary economic stimulus measure.

The policy characterizes the previous policy stance as "excessively austerity-oriented" and explicitly signals a shift away from it. The public-private investment roadmap envisages cumulative public and private investment of more than ¥370 trillion through FY2040. It presents a future in which, if the growth strategy is sufficiently effective, GDP approaches ¥1,100 trillion and the debt-to-GDP ratio declines even if additional fiscal spending is implemented.

However, this estimate effectively assumes an additional ¥10 trillion of spending each year, on top of off-budget allocations. Furthermore, for sectors considered important to economic security, funding is to be separated from primary-balance and debt-to-GDP calculations and managed outside the main fiscal framework.

Under this framework, even if growth falls short of assumptions, it would be difficult to reduce spending that has already been committed on a multi-year basis. **Rather, additional support to maintain growth targets would be easier to justify, creating a structural bias toward fiscal expansion in policy management,** in the view of our Japan Equity Strategy team.

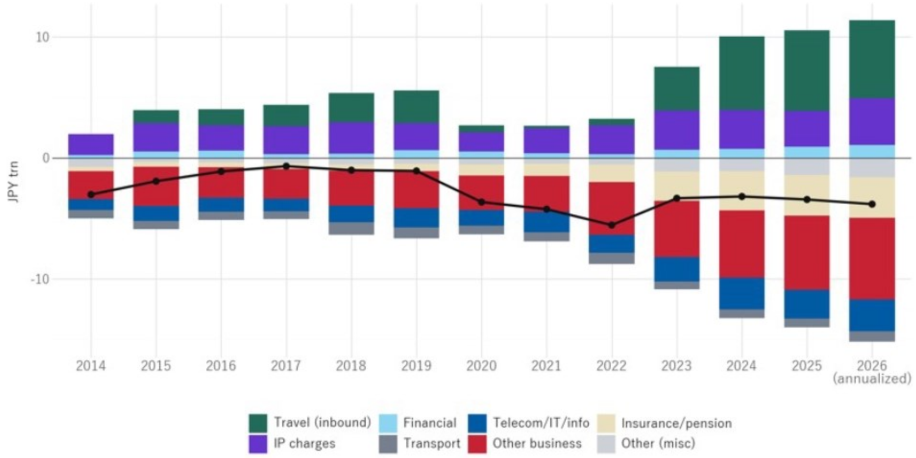
On monetary policy, the document states only that "specific methods will be left to the Bank of Japan." Put differently, this can be interpreted as limiting the BOJ's independence to policy "instruments," while leaving room for government involvement in determining the desired direction of policy.

Bank stocks as protection against yen and bond weakness: Reduced emphasis on fiscal consolidation and concerns that the government may restrain BOJ rate hikes are likely to manifest in the market through yen weakness and lower bond prices.

As discussed in "Asia Trip Feedback: Renewed Interest in the Banking Sector (13 Jul 2026)," and as shown in Exhibit 11, in an environment where the yen weakens and interest rates rise amid fiscal concerns, in addition to the cumulative digital deficit—the increase in payments for cloud services, software downloads and internet advertising—expectations for further BOJ rate hikes are, if anything, likely to increase.

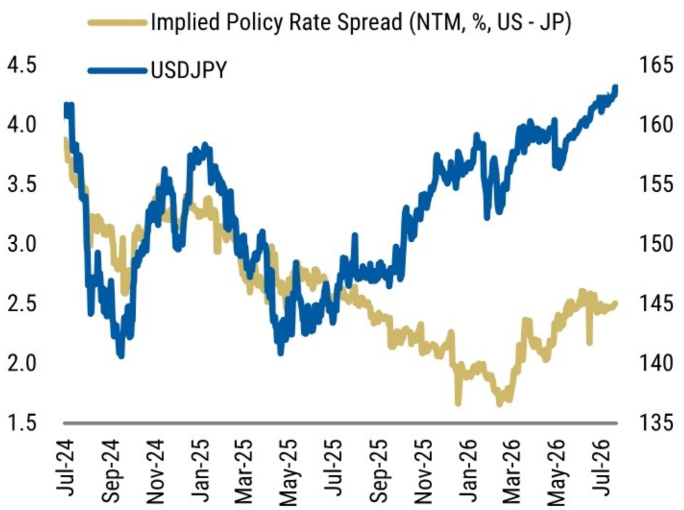
Accordingly, bank stocks remain attractive not only as beneficiaries of higher interest rates, but also, in the near term, as a hedge against AI-related stocks.

Exhibit 11: Expansion of the cumulative digital deficit is a factor weakening the yen



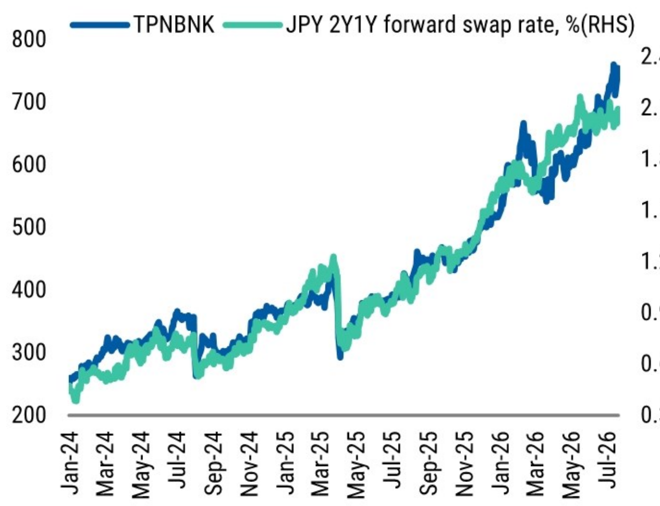
Source: Ministry of Finance, Morgan Stanley Research

Exhibit 12: Market-implied US-Japan interest-rate differential over the next 12 months and USDJPY



Source: Bloomberg, Morgan Stanley Research

Exhibit 13: TOPIX Banks Index and the one-year forward rate two years ahead in yen OIS



Source: Bloomberg, Morgan Stanley Research

Broadening of the AI Theme—Focus on Cybersecurity

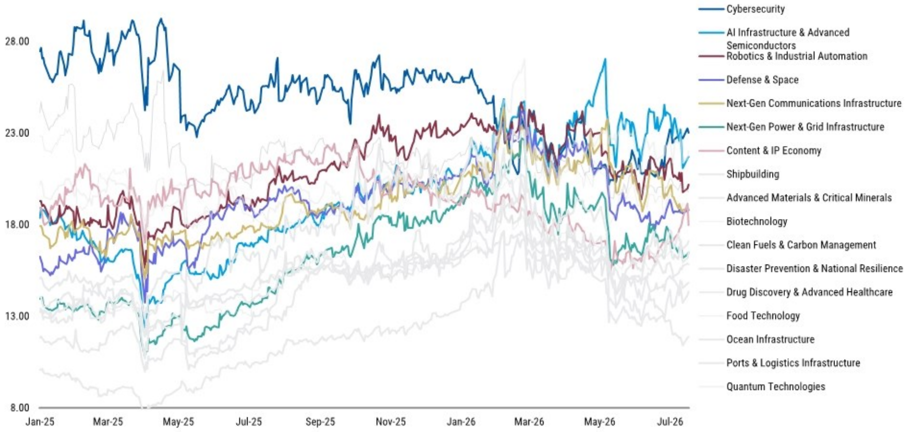
The emergence of Kimi K3, an open-source AI model from China, could further intensify competition among AI models and redistribute the AI profit pool away from a limited number of frontier-model companies toward the infrastructure, software and application layers.

As AI models from a broader range of market entrants become more widely adopted, heightened concerns over security, data protection and model governance could prompt governments and companies to take a more precautionary approach. This would position cybersecurity as a potential beneficiary within the application layer.

Looking at the performance of the Takaichi administration's basket of 17 strategic sectors, cybersecurity has underperformed due to the impact of AI disruption, but is now beginning to show signs of bottoming. The recent Nichirei case also demonstrates that the need to protect supply-chain management, inventory management and logistics systems is spreading across a broad range of companies, including those in food, logistics and manufacturing.

Rather than viewing the emergence of Kimi simply as the “rise of Chinese AI,” it may be more appropriate to interpret it as a “rapid increase in the number of companies using AI.” Under this interpretation, the focus of investor interest could broaden from “companies that build AI” to “companies that enable the safe use of AI.” We would watch cybersecurity, network infrastructure and AI implementation support as potential beneficiaries.

Exhibit 14: Historical P/E by the Takaichi administration’s 17 strategic sectors



Source: QUICK, Morgan Stanley Research

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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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